

Comparing the impact of competitor financial models

Instructions:

Use the table to evaluate the financial impact of installment financing for the provided competitors.

Copy and paste the provided shapes to demonstrate if impact was:

- Extremely Positive
- Positive
- Neutral
- Negative
- Extremely Negative



	Company X		Company Y		Company Z	
	Y0 – Y1 Δ	Y1 – Y2 Δ	Y0 – Y1 Δ	Y1 – Y2 Δ	Y0 – Y1 Δ	Y1 – Y2 Δ
Sales / Revenue	(Yellow circle)	(Yellow circle)	(+)	(+)	(++)	(+)
Operating Costs	(+)	(Yellow circle)	(+)	(+)	(--)	(Yellow circle)
Interest Revenue	(Yellow circle)	(Yellow circle)	(Yellow circle)	(Yellow circle)	(++)	(++)
Interest Expenses	(Yellow circle)	(Yellow circle)	(Yellow circle)	(Yellow circle)	(--)	(+)
Taxes	(Yellow circle)	(Yellow circle)	(+)	(+)	(+)	(--)
Profit	(+)	(Yellow circle)	(+)	(+)	(--)	(++)
Cash flow	(+)	(Yellow circle)	(-)	(-)	(--)	(--)
Debt	(+)	(Yellow circle)	(+)	(+)	(Yellow circle)	(--)

Tip: Your first step should be to define parameters for the various impact levels. For example, change rates $\pm 3\%$ might be considered standard market fluctuations and therefore considered “Neutral” impact.

Follow-up Questions:

1. What are the short-term and long-term effects installment financing could have on our client’s **revenues** and **profits**?

Short-Term: Revenues spike immediately due to increased accessibility, but profits may temporarily dip because of initial setup costs and localized defaults.

Long-Term: The model matures into a high-margin revenue flywheel with consistent sales growth and compounding interest earnings over time.

2. How might **costs** and **available cash** be impacted in the short term and long term if our client implements installment financing?

Short-Term: Operational costs surge due to platform implementation, while cash reserves drop sharply as immediate collections shift to distributed accounts receivable.

Long-Term: Cash flow levels remain structurally lower and more predictable, requiring credit lines or capital reserves to permanently float the financing gap.